

PLANNING & STRATEGIC MANAGEMENT

PORTER's Five FORCES
MODEL



PORTER'S FIVE FORCES

- It is **business framework** that helps companies **understand the competitive forces** in their industry and **how these forces affect their ability** to make profits.
- The model was **created by Michael Porter** and identifies five key factors that **determine the level of competition** in an industry.
- When you need to **create a strategy** to **gain a competitive advantage** or **improve your position** in the market. Porter's Five Forces helps businesses **identify areas where they can be stronger** and **more competitive**, hence improving their market position/performance.



PORTER'S FIVE FORCES

1. Competitive Rivalry (Industry Rivalry):

- This force examines the **level of competition between existing companies** in the industry.
- **High competition** generally leads to **lower profitability**, as companies engage in **price wars, innovation battles, or aggressive marketing**.
- **Factors influencing this force** include:
 - the number of competitors,
 - their relative market share,
 - industry growth,
 - product differentiation,
 - exit barriers (how easy it is for a company to leave the industry).

Example: In the smartphone industry, there is intense rivalry between companies like Apple, Samsung, and Google, which leads to constant innovation and competitive pricing.

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2. Threat of New Entrants:

- This force looks at **how easy it is for new companies to enter** an industry and compete with existing players.
- The easier it is for new businesses to enter the market, the more **pressure it places on existing businesses** to maintain their profitability and market share.
- **Barriers to entry** such as:
 - capital requirements,
 - economies of scale,
 - access to distribution channels,
 - brand loyalty

Example: In the **airline industry**, the threat of new entrants is **relatively low** due to high startup costs (planes, licenses, etc.) and strict regulations. However, in the **restaurant industry**, it's **easier** for new businesses to start and compete.

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3. Bargaining Power of Suppliers:

- This force examines the **power** suppliers have over the **cost and quality of inputs** that businesses need to produce their goods or services.
- When there are **few suppliers** or they **offer unique, differentiated products**, they have **more power over pricing** and terms.

Example: In the technology industry, companies like **Intel** and **NVIDIA** that provide **crucial microchips** can exercise **high bargaining power**, as they dominate the market for key components used in various tech products.

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4. Bargaining Power of Buyers (Customers):

- This force analyzes the influence customers have on the pricing and quality of products or services.
- If buyers have a lot of choices, they can drive prices down or demand higher quality.
- The more concentrated the buyer base, the higher their bargaining power.

Example: In the grocery industry, large supermarkets like Walmart have significant bargaining power over suppliers due to their size and the volume of purchases they make. However, in niche markets where products are specialized, buyers have less power.

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5. Threat of Substitutes:

- This force measures the *likelihood* that **customers will switch to alternative** products or services that can *fulfill the same need*.
- The *more available* and *affordable substitutes* there are, the *greater the competitive pressure* on businesses.

Example: In the **beverage industry**, the threat of substitutes is **high**, with products like **water**, **soda**, and **juice** competing for the same customers. As consumer preferences shift, businesses must adapt to stay relevant.



**QUESTIONS
PLEASE!**

